*Please write clearly in block capitals.*

| **Centre number** | | | | | | | **Candidate number** | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|

**Surname**

**Forename(s)**

**Candidate signature**

# A-level

# ECONOMICS

## Paper 2 National and international economy

***Predicted Paper Set B — Hard***

*Trade and globalisation focus*

## Time allowed: 2 hours

### Materials

- an AQA 12-page answer book
- a calculator.

### Instructions

- Use black ink or black ball-point pen. Pencil should only be used for drawing.
- Write the information required on the front of your answer book. The Paper Reference is 7136/2.
- Answer ALL questions in both Section A and Section B.
- Diagrams should be drawn in pencil and fully labelled.

### Information

- The marks for questions are shown in brackets.
- The maximum mark for this paper is 80.
- There are 40 marks for Section A and 40 marks for Section B.
- You will be marked on your ability to:
  – use good English
  – organise information clearly
  – use specialist vocabulary where appropriate.

## Advice

- You are advised to spend 1 hour on Section A and 1 hour on Section B.

*Predicted Paper — For revision purposes only [Set B — Hard]*

# Section A

*Answer ALL questions in this section.*

**Total for this section: 40 marks**

### Data Response: UK Trade and CPTPP Membership

*Study Extracts A, B and C and then answer all parts of Section A which follow.*

### Extract A: UK Trade and CPTPP Membership

Since Brexit, the UK has signed independent trade deals with Australia, New Zealand and Japan, and joined the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) in 2023. UK goods exports to the EU fell 15% between 2019 and 2023; small businesses cite paperwork and rules-of-origin as the main barriers. The current account deficit widened to 3.1% of GDP in 2023. Inward FDI remained one of the highest in Europe at £29.5bn.

*Source: News reports, November 2024*

### Extract B: UK Trade and FDI, 2019–2023

| Indicator | 2019 | 2021 | 2023 |
|---|---|---|---|
| UK goods exports to EU (£bn) | 170 | 138 | 145 |
| UK goods imports from EU (£bn) | 228 | 195 | 215 |
| Current account balance (% GDP) | −2.7 | −1.5 | −3.1 |
| Inward FDI (£bn) | 36.2 | 24.1 | 29.5 |
| £/€ exchange rate | 1.14 | 1.16 | 1.15 |

*Source: Office for National Statistics / UNCTAD / Bank of England, 2024*

### Extract C: Further Commentary

OBR analysis estimates that CPTPP membership will raise UK GDP by 0.08% over 15 years — small relative to the 4% long-run hit estimated from leaving the EU single market. Supporters argue the deal hedges against rising protectionism and unlocks future Asian growth.

*Source: Office for Budget Responsibility / Department for Business and Trade, 2024*

**0 1** Using Extract B, calculate the UK's trade deficit in goods with the EU in 2023.

**[2 marks]**

**0 2** Using a fully labelled AD/AS diagram, explain how a fall in net exports affects UK real output and the price level. Your answer must include both a labelled diagram AND a written explanation of the economic mechanism.

**[4 marks]**

**0 3** Using the extracts and your knowledge of economics, analyse two potential macroeconomic benefits to the UK of joining the CPTPP.

**[9 marks]**

**0 4** Using the extracts and your own knowledge, evaluate the view that free trade agreements such as the CPTPP are beneficial for UK long-run economic growth.

**[25 marks]**

# Section B

*Answer BOTH questions in this section.*

*Each essay carries a total of 40 marks.*

**Total for this section: 40 marks**

The theory of comparative advantage provides the intellectual foundation for international trade, while the process of globalisation has accelerated the integration of the world economy over the past four decades. Economists disagree about how much of the reduction in global poverty since 1990 should be credited to globalisation as opposed to deliberate government policy.

**0 5** Explain how comparative advantage can lead to mutual gains from trade between two countries.

**[15 marks]**

**0 6** “Globalisation has done more to reduce poverty than any government policy.” Evaluate this statement.

**[25 marks]**

**END OF QUESTIONS**